Investment Pitchbook

Vodafone Idea Limited & Apollo Micro Systems Lim
December 23, 2025

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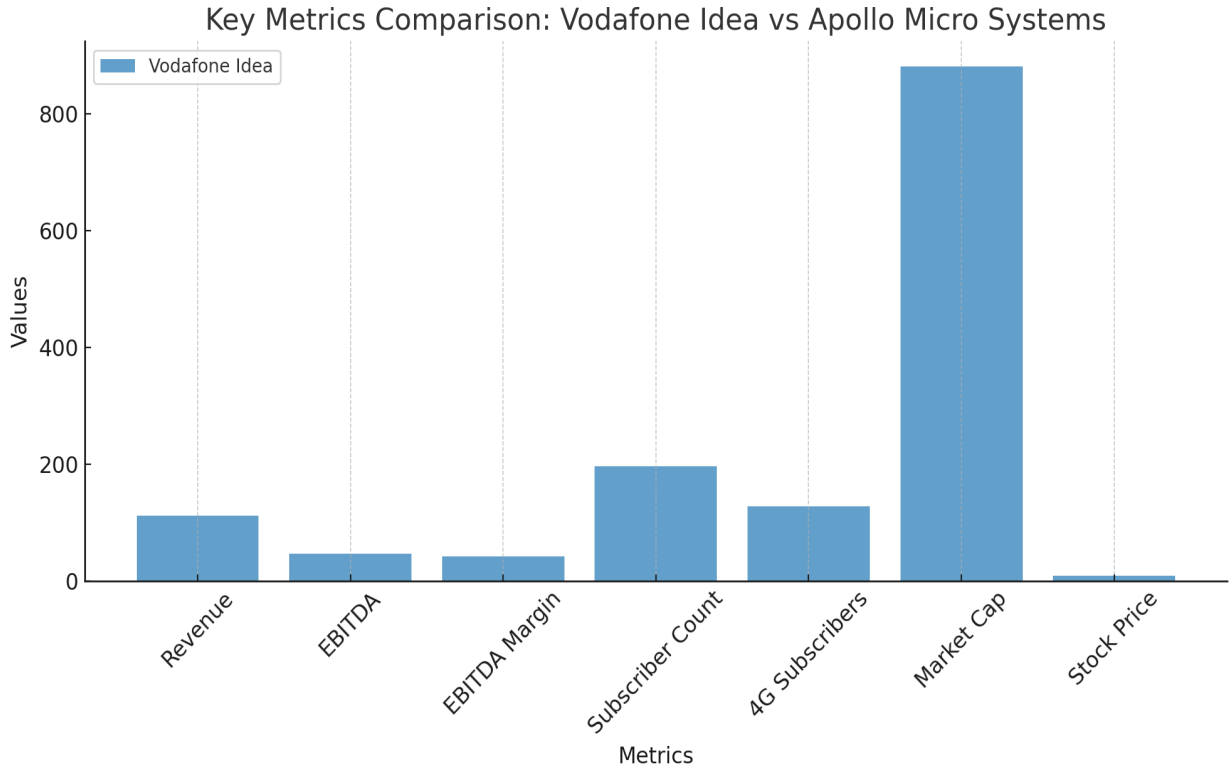
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1. Company Snapshots

Vodafone Idea Limited
Headquarters: Mumbai, India
Founding Year: 2018
Sector: Telecommunications
Business Model: Mobile and broadband services

Latest Financials
Revenue: INR 111.9 billion
EBITDA: INR 46.9 billion
EBITDA Margin: 41.9%
PAT: N/A

Operational Metrics



Apollo Micro Systems

Headquarters: Hyderabad, India
Founding Year: 1995
Sector: Aerospace and Defense
Business Model: Manufacturing and supplying systems
Latest Financials: Data Not Available

Section 2: News & Sentiment Analysis

Company: Vodafone Idea

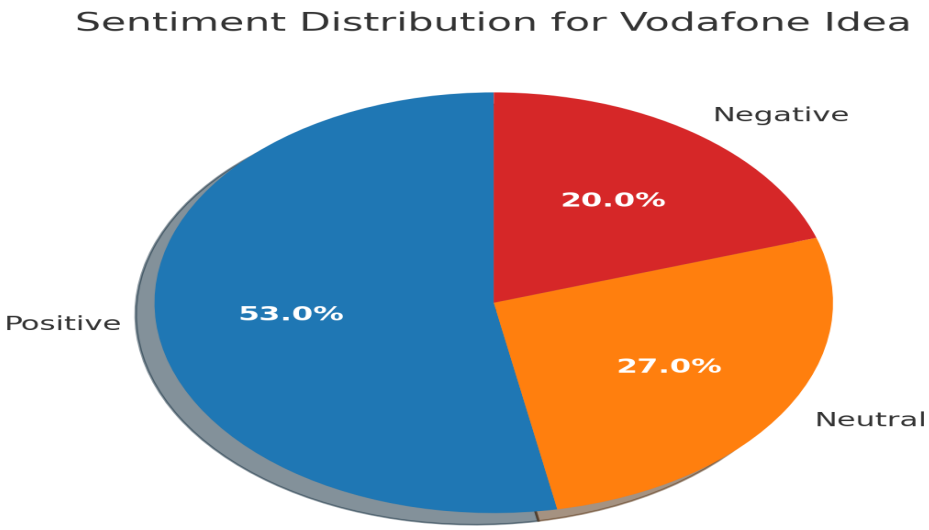
Articles Analyzed: 15

Positive Sentiment: 53%

Overall Tone: Positive

Impact Level Table

Impact Level	Count
High	5
Medium	7
Normal	3



Key Themes
- AGR Dues
- Fundraising
- Subscriber Growth
- Market Position

Top Headlines
- Vodafone Idea Shares Jump on AGR Dues Reconsideration
- Vodafone Idea Q4 Loss Narrows, Rs 20,000 Cr Fundraise Planned
- Vodafone Sells Indus Towers Stake for Rs 2,800 cr, Clears Dues
- Brokerages react to Supreme Court's decision on Vodafone Idea's AGR dues

Company: Apollo Micro Systems

Articles Analyzed: 11

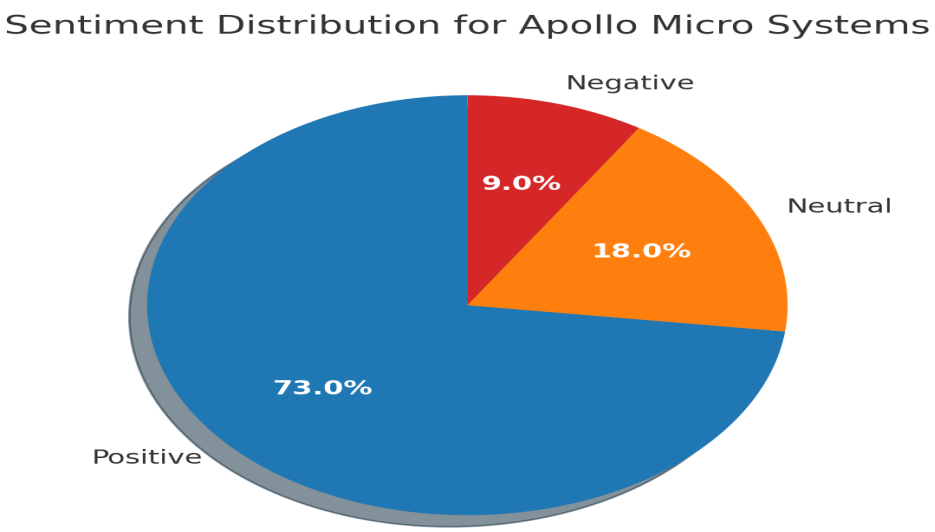
Positive Sentiment: 73%

Overall Tone: Very Positive

Impact Level Table

Impact Level	Count

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Key Themes
- Defense Investment
- Partnerships
- Profit Growth

Top Headlines
- AMSL to Invest Rs 1,500 Cr in Telangana Defence Sector
- AMSL Q1 Profit Doubles to Rs 18 cr
- Apollo Micro Systems Raises Rs 416 Cr
- AMSL Secures USD 13.36 Million Export Order for Avionics System

Section 3: Financial Statements

Financial Analysis of Vodafone Idea and Apollo Micro Systems
This section provides a comprehensive analysis of the financial statements of two companies: Vodafone Idea and Apollo Micro Systems. Each company's performance is examined through its Profit and Loss (P&L;) statement, Balance Sheet, and Cash Flow statement.

1. Profit and Loss Statement
Vodafone Idea reported a total revenue of INR 111.9 billion with an EBITDA of INR 46.9 billion, indicating the company's operational profitability. The total income aligns directly with revenue in this analysis, highlighting operational consistency. The main income streams and operational costs need further exploration to assess net profitability due to the unavailability of Profit After Tax (PAT) data.

In contrast, Apollo Micro Systems generated a revenue of INR 0.22526 billion and an EBITDA of INR 0.12 billion, showcasing a strong EBITDA margin relative to its revenue. With a PAT of INR 0.04 billion, this indicates effective cost management in an efficient operational framework.

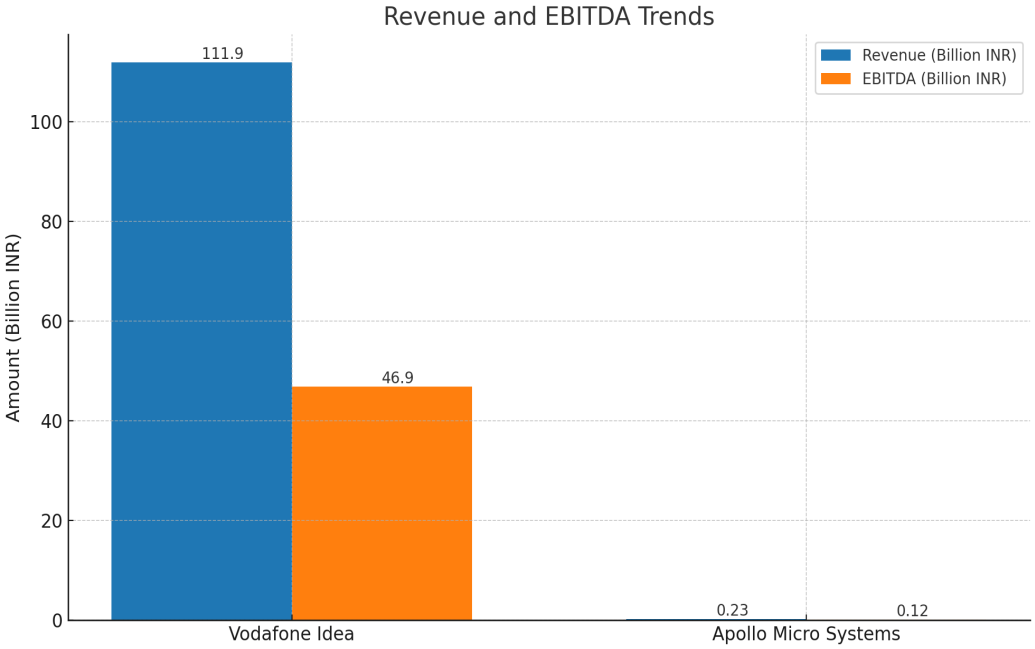
Overall, these financial metrics provide a foundation for evaluating profitability trends and sector positioning for both companies.

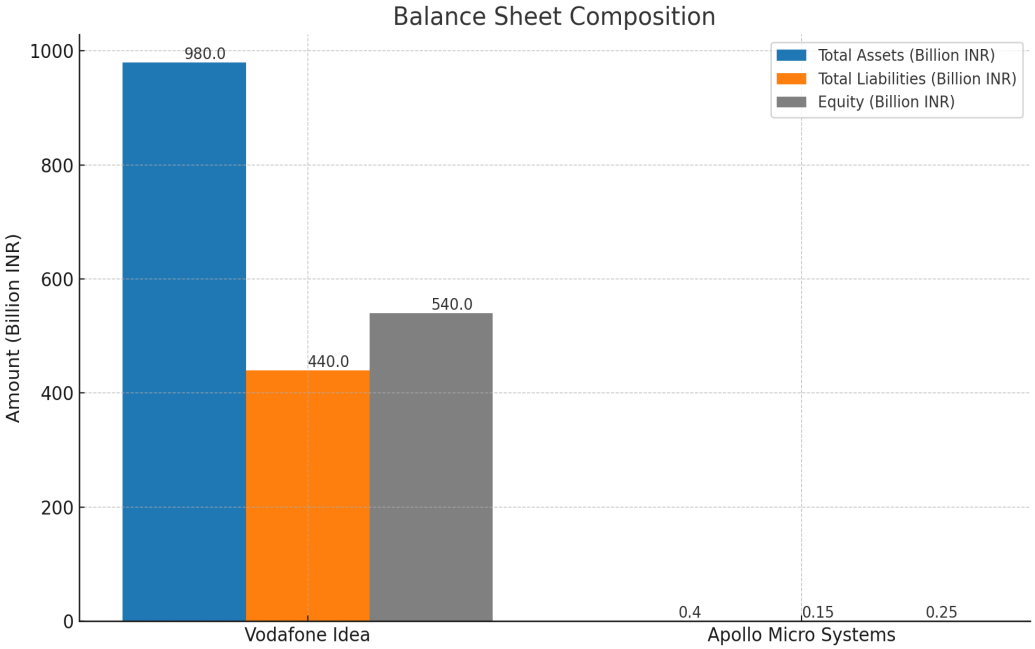
2. Balance Sheet Analysis
Vodafone Idea's balance sheet reflects total assets of INR 980 billion, with total liabilities at INR 440 billion, resulting in equity totaling INR 540 billion. This structure offers a solid representation of the company's asset management and leverage, fostering insights into financial stability and risk.

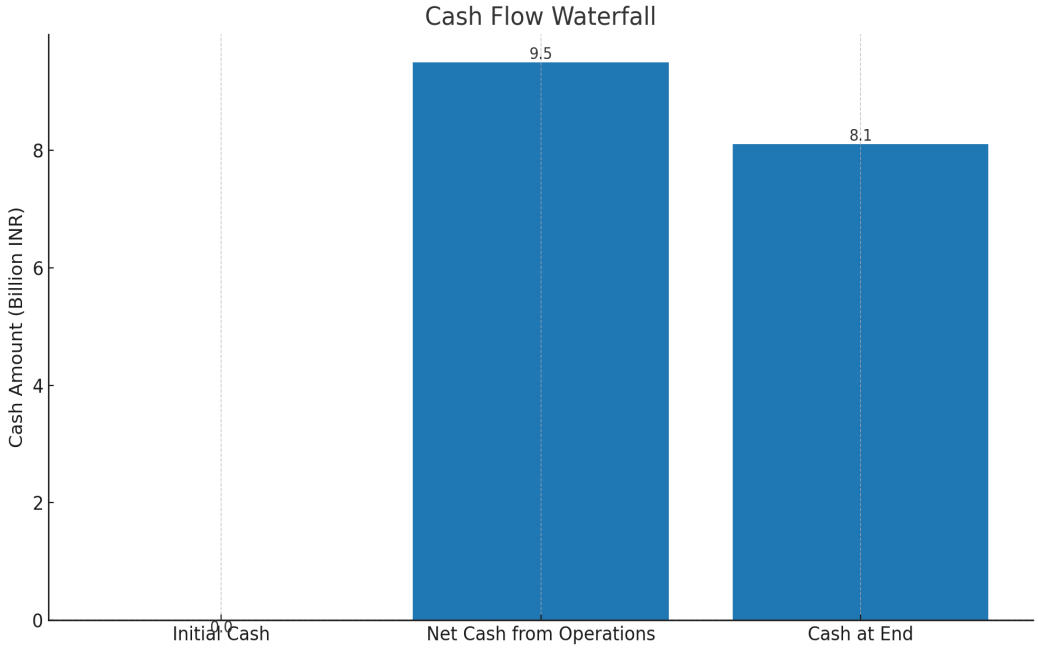
Conversely, Apollo Micro's financial position shows total assets of INR 0.4 billion and total liabilities of INR 0.15 billion, translating into equity of INR 0.25 billion. The efficient risk profile is complemented by a good equity cushion relative to liabilities, indicating a conservative financing approach.

3. Cash Flow Overview
Vodafone Idea presented a net cash flow from operations of INR 9.5 billion, with cash at the end of the period reported at INR 8.1 billion. This positive cash flow emphasizes operational health and liquidity management, essential for long-term sustainability. In terms of cash management, these figures indicate an overall adept handling of cash within operational frameworks.

Apollo Micro, similarly, reflects a net cash flow from operations totaling INR 0.02 billion with an end cash position of INR 0.021 billion. The company's operations demonstrate positive cash handling, crucial for maintaining flexible operational capabilities.


Revenue and EBITDA Trends
Revenue (Billion INR)
EBITDA (Billion INR)
Amount (Billion INR)
0
20
40
60
80
100
111.9
46.9
0.23
0.12
Vodafone Idea
Apollo Micro Systems

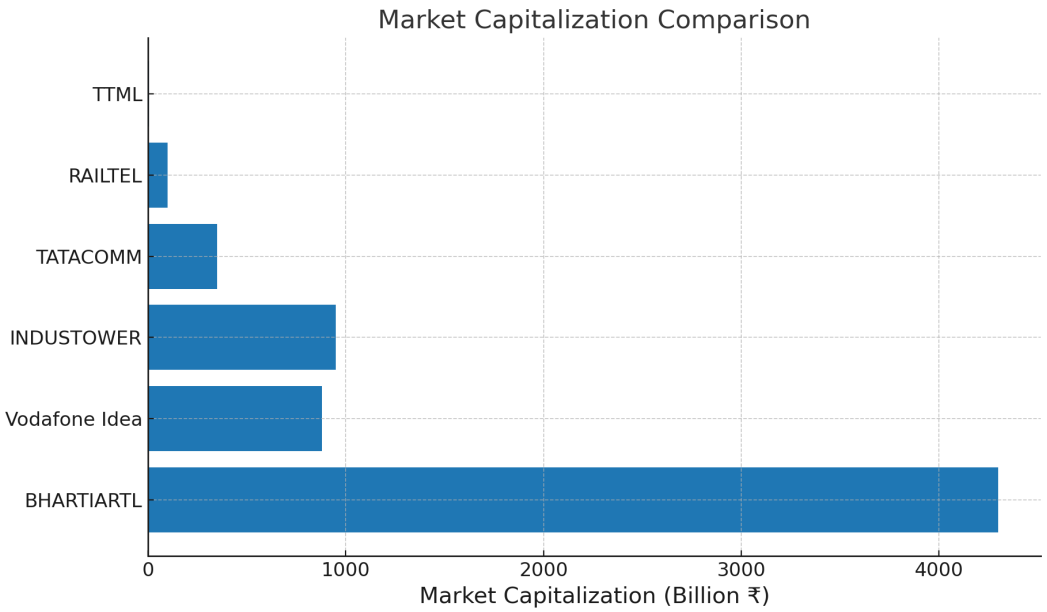

Balance Sheet Composition
Total Assets (Billion INR)
Total Liabilities (Billion INR)
Equity (Billion INR)
Amount (Billion INR)
0
200
400
600
800
1000
980.0
440.0
540.0
0.4
0.15
0.25
Vodafone Idea
Apollo Micro Systems


Cash Flow Waterfall
Cash Amount (Billion INR)
0
2
4
6
8
0.0
9.5
8.1
Initial Cash
Net Cash from Operations
Cash at End

Section 4: Valuation & Peer Comparison

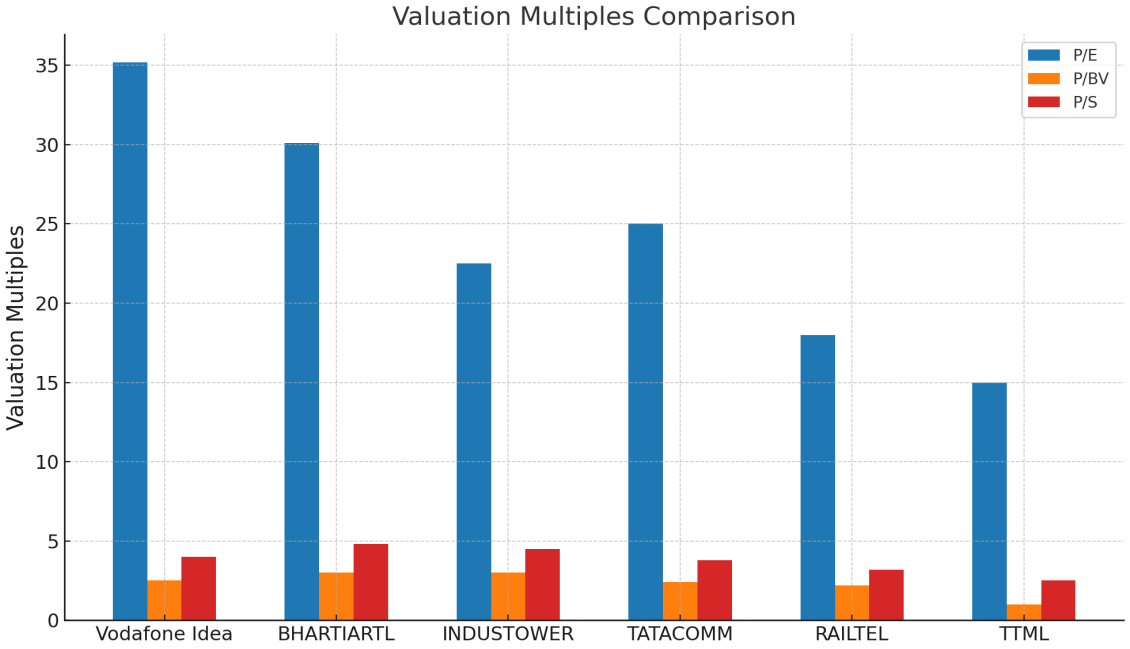
Vodafone Idea ranks 5th among 6 competitors with a market cap position of 4th. Currently, it trades at a Price to Earnings (P/E) ratio of 35.2, which is above the average peer multiple of 26.5, indicating a premium valuation despite operational challenges.

Stock	CMP	Market Cap	P/E	ROE%	ROCE%	Debt/Equity
Vodafone Idea	■8.1	■880.8B	35.2	N/A	N/A	High
BHARTIARTL	■786.4	■4,300B	30.1	22.5%	18.2%	1.2
INDUSTOWER	■228.0	■950B	22.5	8.3%	7.6%	0.5
TATACOMM	■1,080.0	■350B	25.0	15.0%	14.7%	0.1
RAILTEL	■118.0	■100B	18.0	10.0%	9.5%	0.2
TTML	■6.55	■6.0B	15.0	N/A	N/A	High



Valuation Multiples for Vodafone Idea

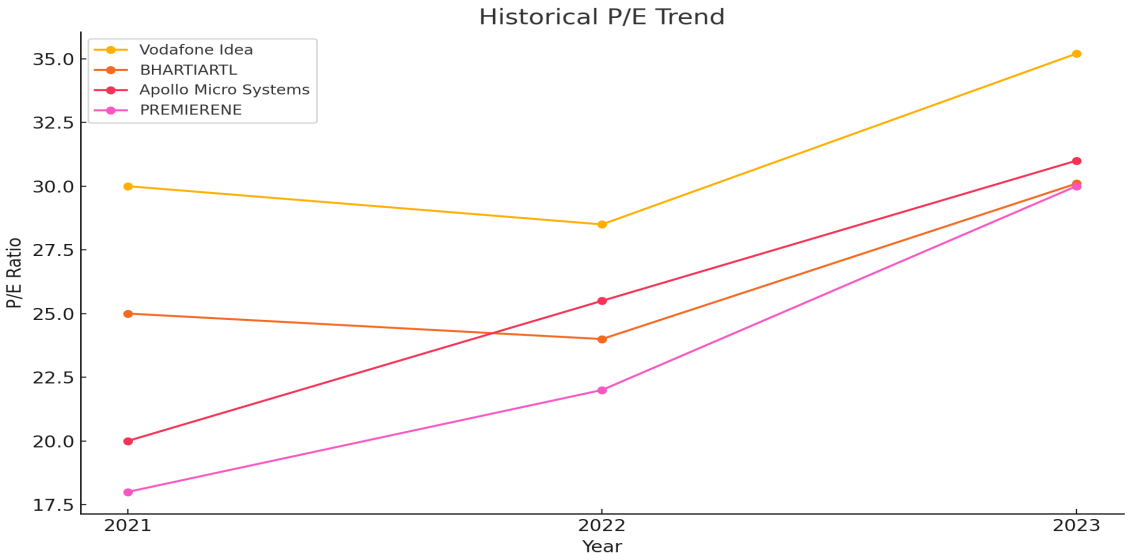
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Valuation Multiples
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5
10
15
20
25
30
35
Vodafone Idea
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INDUSTOWER
TATACOMM
RAILTEL
TTML
P/E
P/BV
P/S

Section 5: Historical Valuation Trends

This section analyzes the long-term valuation trends, trading patterns, and valuation inflection points of selected companies within the telecommunications sector. Understanding these trends is crucial for potential investors to make informed decisions.

Company	2021 P/E	2022 P/E	2023 P/E
Vodafone Idea	30.0	28.5	35.2
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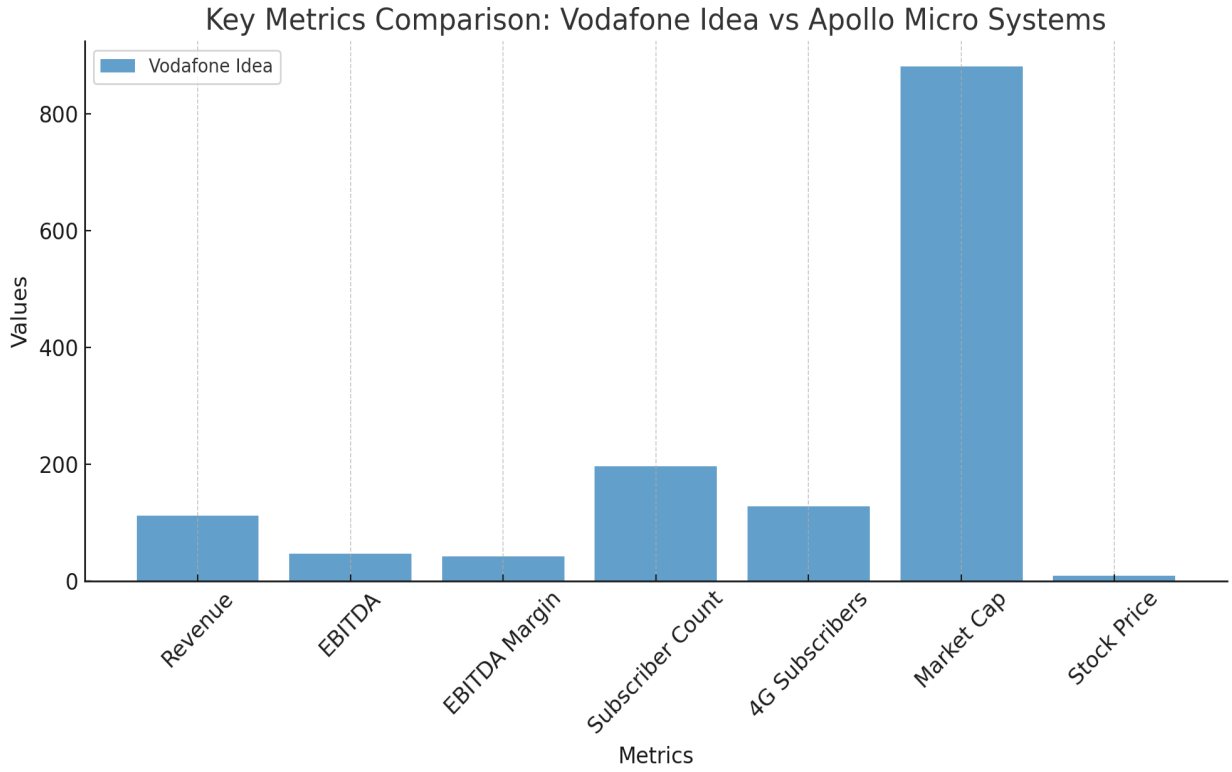
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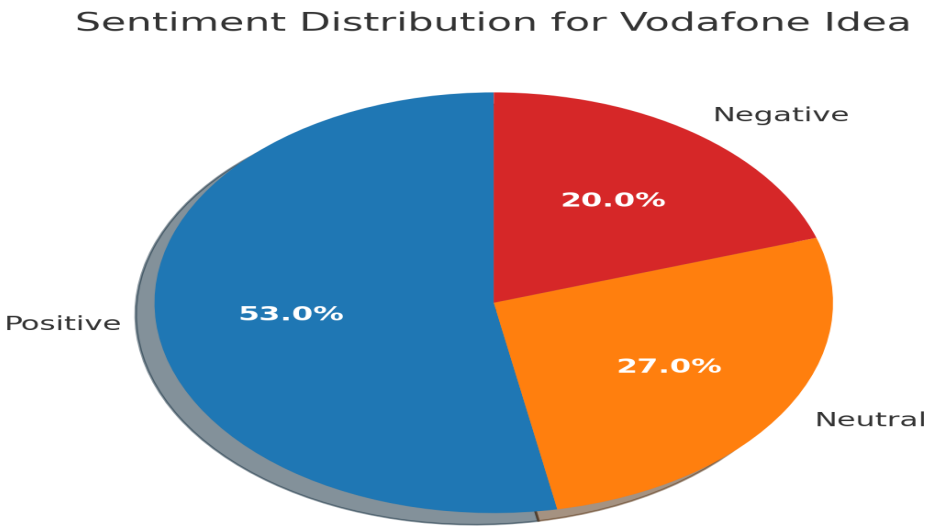
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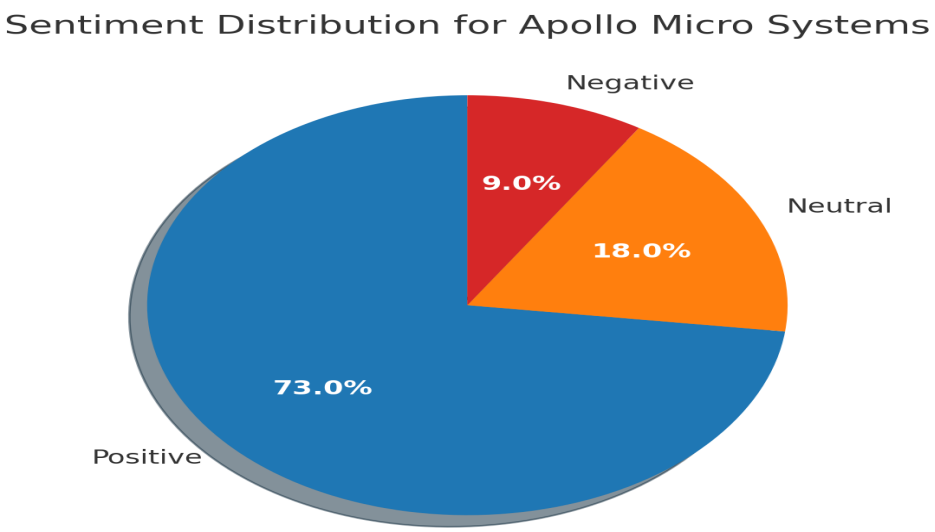
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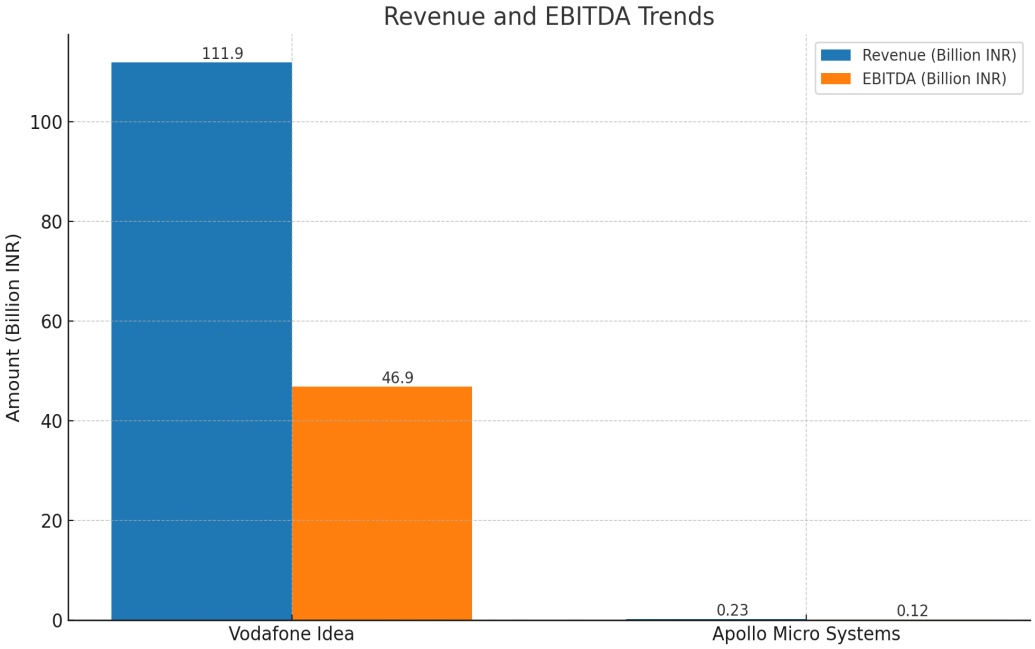
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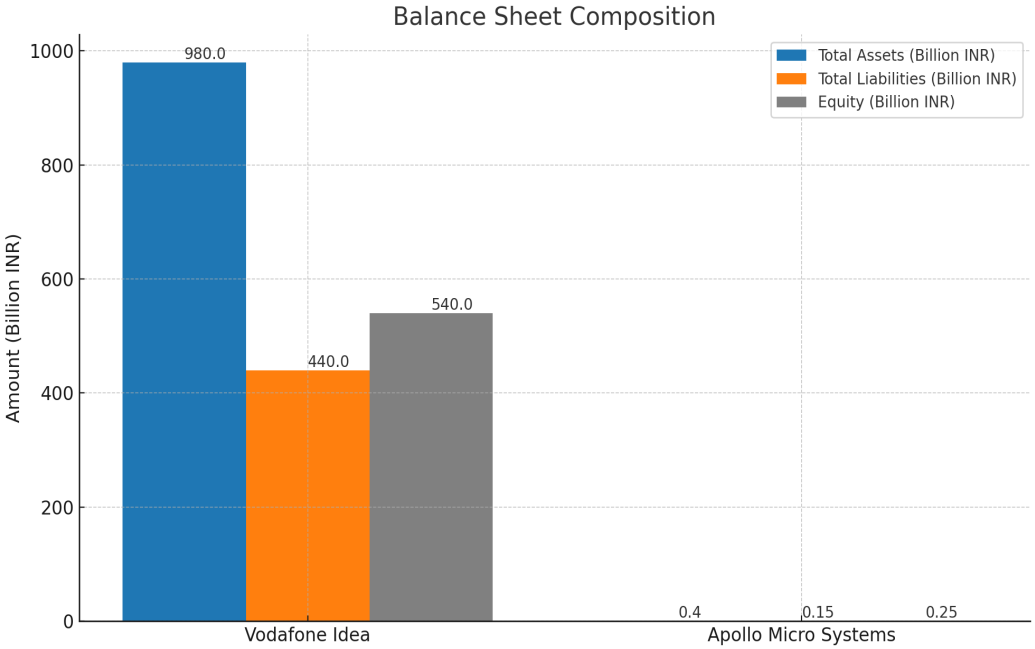
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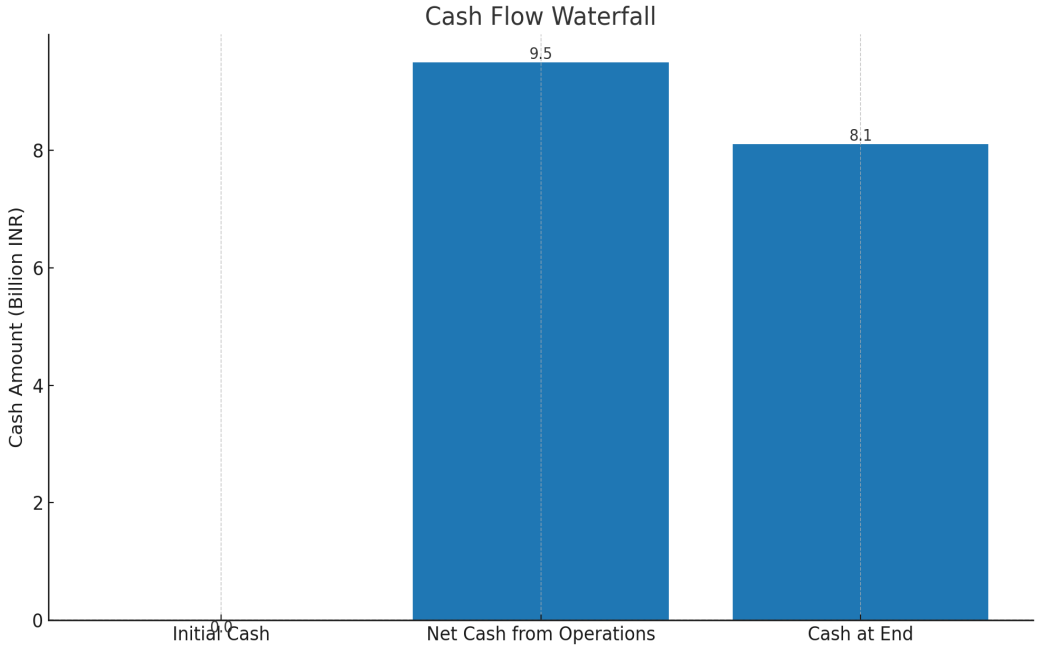
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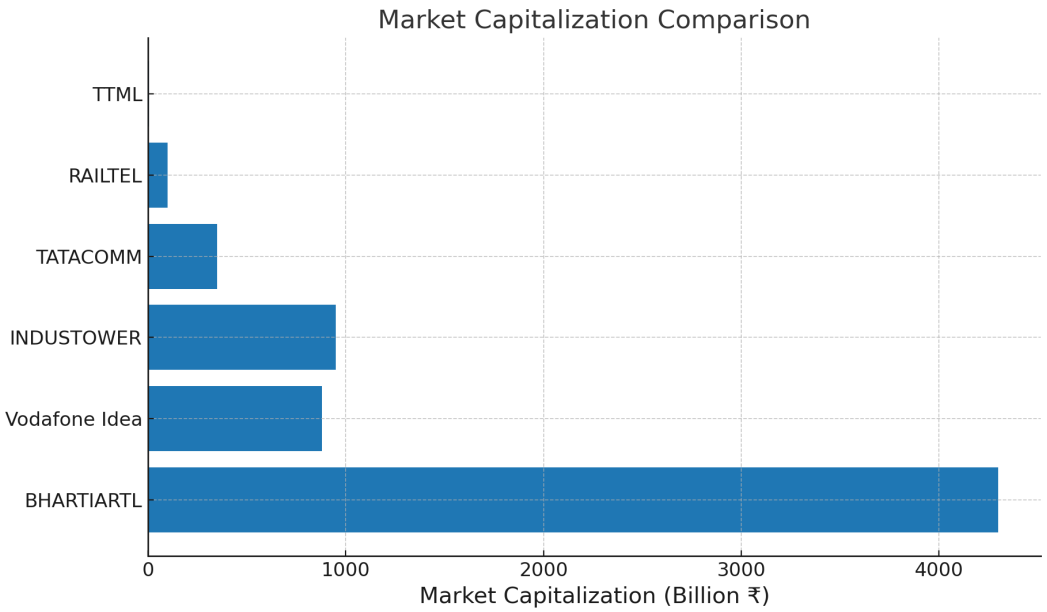

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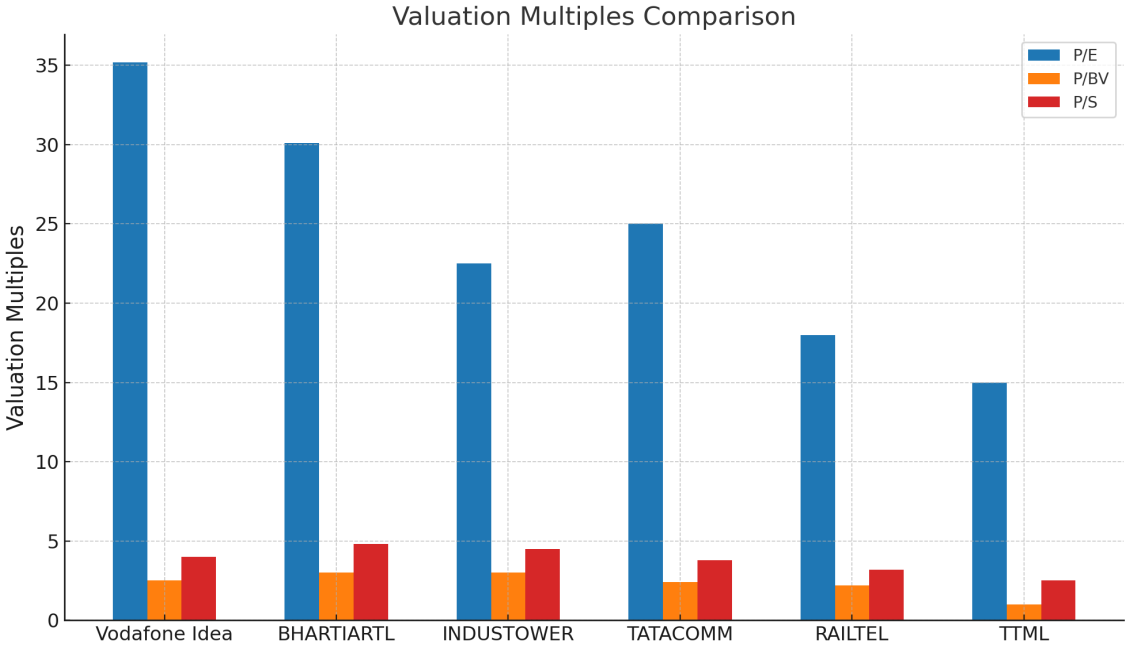
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Valuation Multiples for Vodafone Idea

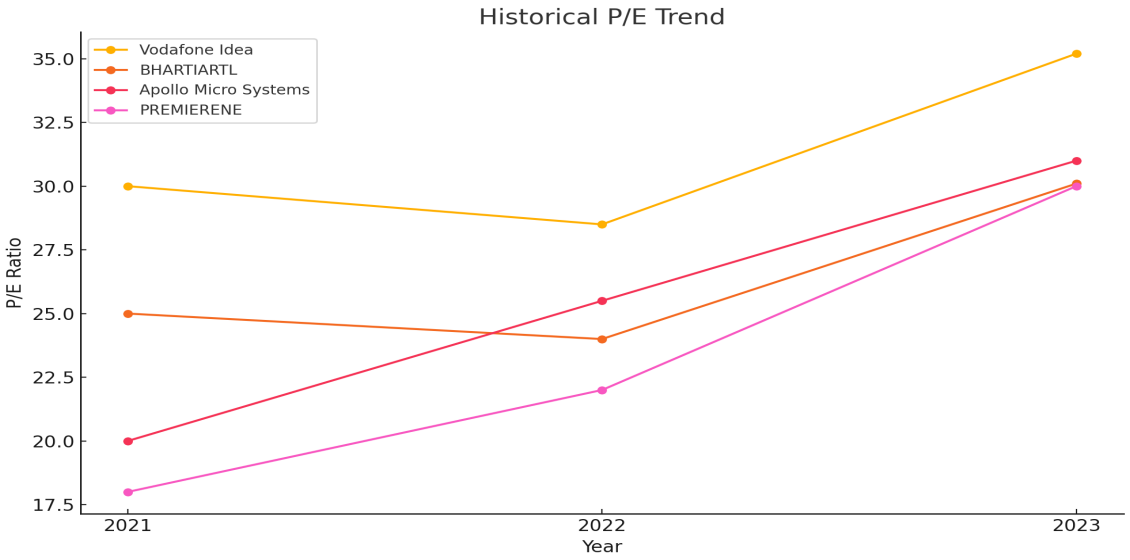
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TATACOMM
RAILTEL
TTML
P/E
P/BV
P/S

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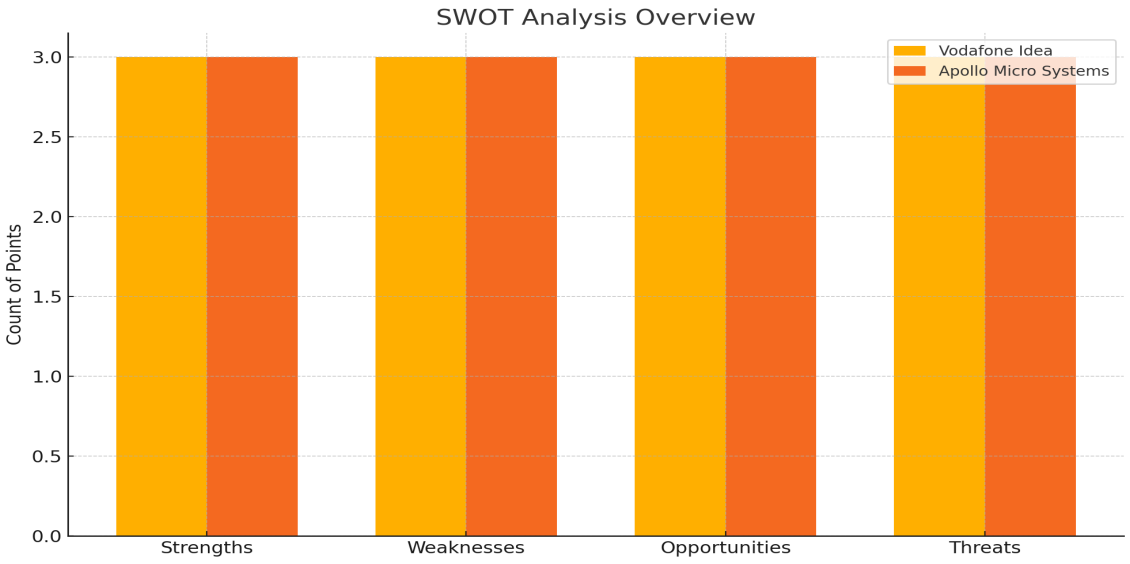
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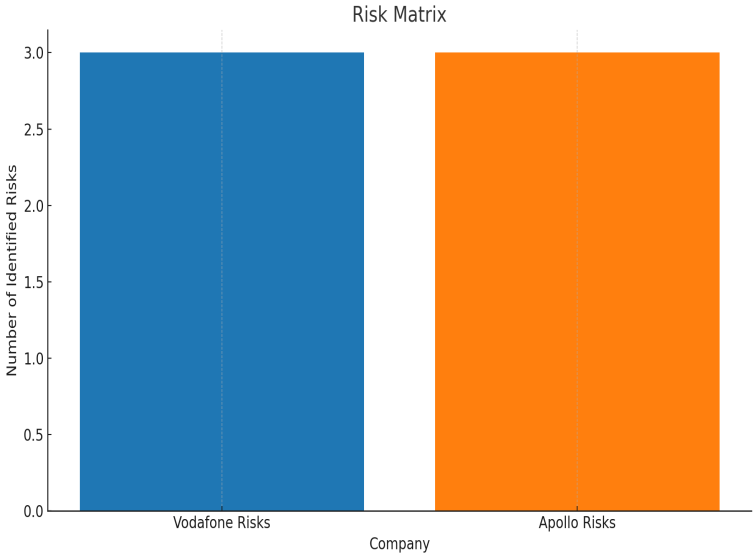
Section 6: SWOT Analysis

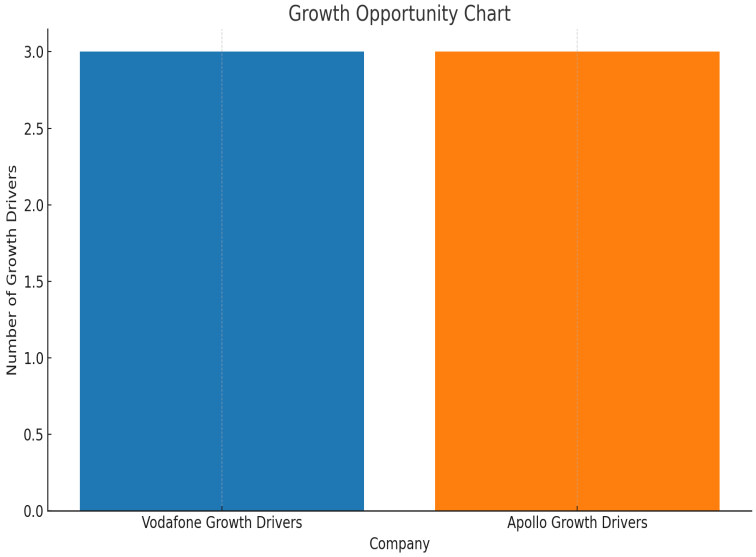
This section provides a comprehensive SWOT analysis of two companies: Vodafone Idea and Apollo Micro Systems. Analyzing these factors helps to understand the underlying strengths, weaknesses, opportunities, and threats faced by each firm. 1. **Vodafone Idea**: - **Strengths**: - Extensive spectrum portfolio allowing diverse service offerings. - Strong brand recognition and distribution network. - Strategic partnerships with Aditya Birla Group and Vodafone Group. - **Weaknesses**: - High leverage affecting operational flexibility. - Challenges in retaining subscribers amid competitive pricing. - Limited growth in Average Revenue Per User (ARPU). - **Opportunities**: - Rapid rollout of 5G services could increase subscriber base. - Growing demand for digital content and financial services via Vi App. - Supportive regulatory environment for telecom infrastructure growth. - **Threats**: - Competitive pricing from Bharti Airtel and Reliance Jio. - Potential regulatory changes impacting revenue streams. - Slow adoption of new technologies by existing customer base. 2. **Apollo Micro Systems**: - **Strengths**: - Established reputation for high-quality products in defense sector. - Robust technical capabilities enabling innovative solutions. - Strong relationships with defense organizations such as DRDO. - **Weaknesses**: - Heavy reliance on government contracts for revenue. - Limited geographical footprint may restrict market access. - Production costs subject to high variability. - **Opportunities**: - Soaring defense expenditure by the government provides growth potential. - Possibility to explore international markets for expansion. - Strategic partnerships with foreign OEMs could enhance capabilities. - **Threats**: - Rising competition from emerging domestic and foreign companies. - Potential regulatory shifts could alter the procurement landscape. - Economic downturn could constrain defense budgets impacting contracts.



Section 7: Risk & Growth Drivers

This section delves into the critical risk assessment and growth drivers impacting both Vodafone and Apollo. A thorough analysis of the invested capital’s potential challenges is crucial for investors to understand the inherent risks involved. ### Vodafone Risks 1. **High levels of debt impacting investment capability**: Vodafone is currently facing significant debt levels which can adversely affect its ability to invest in growth opportunities. Elevated debt can restrict operational flexibility and impact overall financial stability. 2. **Intense competition leading to price wars**: The telecommunications sector is characterized by a highly competitive landscape. This intense competition may lead Vodafone to engage in price wars that could detract from profitability. 3. **Regulatory pressures associated with spectrum fees and AGR dues**: The company faces regulatory challenges, including hefty spectrum fees and Adjusted Gross Revenue (AGR) dues that can constrain financial performance. ### Vodafone Growth Drivers 1. **Expansion into 5G services and higher ARPU offerings**: Vodafone's push into 5G technology represents a significant growth avenue, potentially leading to augmented Average Revenue Per User (ARPU) through enhanced service offerings. 2. **Increased focus on digital services and partnerships**: A strategic pivot toward digital services, combined with forming partnerships, can facilitate capturing new customer segments and driving revenue growth. 3. **Potential government support and regulatory reforms**: Favorable government policies and regulatory reforms can provide a conducive environment for Vodafone's operations and expansions. ### Apollo Risks 1. **Dependence on government contracts for the majority of revenue**: Apollo's revenue heavily relies on government contracts, making it vulnerable to changes in government budget allocations and policies. 2. **Economic downturns affecting defense budgets**: Economic fluctuations may lead to reduced defense budgets, impacting Apollo’s revenue streams. 3. **Competition from domestic and international defense firms**: The defense industry is facing increasing competition, posing a risk to Apollo's market share and profitability. ### Apollo Growth Drivers 1. **Growing defense expenditure by the Indian government**: An increasing focus on national defense provides Apollo the opportunity for growth as government spending in this area escalates. 2. **Opportunities in international markets and exports**: Apollo is positioned to explore and expand into international markets, which can significantly bolster its revenue. 3. **Strengthening technological capabilities through investment in R&D;**: Commitment to research and development can enhance Apollo's technological edge, enabling it to innovate and capture new market opportunities. In conclusion, understanding these risks and growth drivers is essential for prospective investors to gauge the investment landscape of both Vodafone and Apollo.


Risk Matrix
Number of Identified Risks
3.0
2.5
2.0
1.5
1.0
0.5
0.0
Vodafone Risks
Apollo Risks
Company


Growth Opportunity Chart
Number of Growth Drivers
3.0
2.5
2.0
1.5
1.0
0.5
0.0
Vodafone Growth Drivers
Apollo Growth Drivers
Company

Section 7: Risk & Growth Drivers

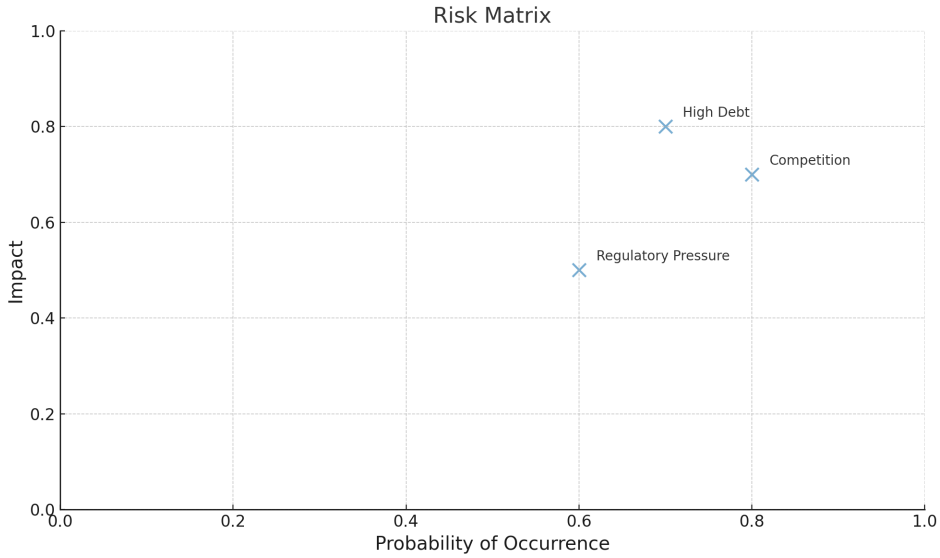
1. Vodafone Risks:
Vodafone faces several critical risks that pose potential challenges to its operational efficiency and market position. High levels of debt significantly impact its investment capability, limiting the company's ability to fund new projects and expand services. Additionally, intense competition has led to price wars among telecom providers, pressuring margins and profitability. Furthermore, regulatory pressures including spectrum fees and Adjusted Gross Revenue (AGR) dues further complicate Vodafone's ability to navigate the market successfully.

2. Vodafone Growth Drivers:
Despite these challenges, Vodafone has significant growth drivers. The company's expansion into 5G services, which promises higher Average Revenue Per User (ARPU) offerings, positions it favorably in an evolving digital landscape. Moreover, an increased focus on digital services and strategic partnerships enhances its competitive edge. There is also potential for government support and favorable regulatory reforms that could further bolster Vodafone's growth prospects.

3. Apollo Risks:
Apollo, on the other hand, faces a set of unique risks. Its dependence on government contracts for the majority of its revenue exposes it to external policies and economic fluctuations. Additionally, economic downturns can affect defense budgets adversely, posing a risk to business continuity. Finally, competition from both domestic and international defense firms adds to the challenges Apollo faces in this sector.

4. Apollo Growth Drivers:
Looking forward, Apollo has several growth drivers. The Indian government's increasing defense expenditure opens up opportunities for enhanced revenue generation. Moreover, there are vast opportunities in international markets and exports, which Apollo can capitalize on.

Risk Matrix



Growth Opportunities Chart

